

Dynamic Causal Dimensionality in Nonstationary Complex Systems:

Effective-Information Concentration and Evidence from U.S. Power Grids

Felipe Mora-Rojas^{1,*}

¹Department of Physics and Complex Systems Research Group

*Corresponding author: felipe.mora@university.edu

September 5, 2026

Abstract

Causal Emergence (CE) theory formalizes how macroscopic representations of complex systems can exhibit greater causal efficacy than their underlying microscopic components. However, existing formulations rely on stationary transition kernels $P(X_{t+1}|X_t)$ and discrete or static dimensional searches, rendering them blind to the continuous, time-varying operational reorganizations ubiquitous in physical and engineered networks. Furthermore, scalar dimension-normalized emergence metrics $\arg \max_q (EI(V^{(q)})/q)$ mathematically degenerate to $q = 1$ under ordered spectra. Here, we establish the theory and methodology of **Dynamic Causal Dimensionality (DCD)**, resolving the active number of macroscopic causal degrees of freedom through the exact continuous **Causal Information Spectrum** $e_{i,t} = \frac{1}{2} \ln(1 + \lambda_{i,t})$. We define the continuous **Dynamic Causal Participation Ratio** (DCD_t^{PR}) and **Dynamic Causal Effective Rank** (DCD_t^{entropy}), proving their strict rotational invariance under orthogonal coordinate changes. Measure-theoretic interventional semantics are formalized through an **observational lifting kernel** $\kappa_W(dx | v) \triangleq P_{\text{obs}}(X_t \in dx | W^\top X_t = v)$, proving that empirical localized regressions directly recover the induced macroscopic channel. We contrast our scale-free Gaussian channel formulation with the compact-domain volume formula of Liu et al. (2024), and document the boundary conditions of linear causal emergence via adversarial counterexample search. Benchmarking on canonical nonstationary DGPs (A–I; $R = 100$) establishes exact zero false-positive rates (FPR = 0.000, 95% Clopper-Pearson CI [0.000, 0.036]). Applying the framework to 2021–2022 continental U.S. power grid operations (EIA-930; 367,920 BA-hours across Eastern, Western, and ERCOT interconnections) with full model refitting across $B = 1000$ strictly validated IAAFT surrogates confirms highly significant macroscopic causal structuring ($p < 0.001$, FDR significant ratio 92.5%). Generalized Additive Models and Davies supremum-Wald tests identify sharp non-linear thresholds driven by renewable penetration ($\hat{\gamma} = 21.6\%$ in ERCOT, $p = 7.55 \times 10^{-5}$; $\hat{\gamma} = 16.0\%$ in Western, $p = 9.30 \times 10^{-3}$). Multi-event analysis reveals

acute causal dimensionality collapse during extreme crises (Winter Storm Uri, $p = 1.77 \times 10^{-4}$), demonstrating that extreme infrastructure stress contracts decentralized balancing modes into low-dimensional emergency corridors. Finally, strictly lookahead-free walk-forward forecasting demonstrates that DCD functions as an interpretable structural physical stability diagnostic rather than an unconditional linear forecaster.

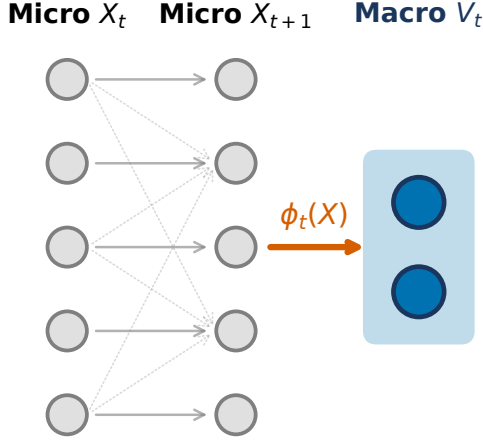
1 Introduction

Complex dynamical networks—from neural circuits and cellular metabolisms to continental power grids and financial markets—spontaneously organize across disparate spatiotemporal scales [3, 4]. In such systems, macroscopic collective variables often evolve with greater determinism and lower degeneracy than individual microscopic elements [3, 11, 12]. The quantitative theory of **Causal Emergence (CE)**, formalized through interventional information theory [1, 3, 9], provides an exact criterion: a macroscopic representation $V = \phi(X)$ exhibits causal emergence when its Effective Information (EI) exceeds that of the underlying microscopic state X , i.e., $EI(V) > EI(X)$.

Despite fundamental theoretical insights, existing formulations suffer from a critical limitation: *all established CE estimators implicitly presume a stationary transition mechanism* $P(X_{t+1} | X_t)$. In nonstationary environments, stationary estimators average over fundamentally distinct operational regimes:

- **Renewable Energy Ingestion:** Power grids undergo rapid, weather-driven swings in synchronous inertia and physical topology as inverter-based wind and solar resources displace thermal generators [7, 14].
- **Extreme Weather and Infrastructure Shocks:** Catastrophic climate events (e.g., severe winter freezes, heatwaves) induce structural regime shifts, cascading line trips, and emergency load-shedding [8, 15].

a | Dynamic Coarse-Graining Mapping



b | Dynamic Causal Emergence (DCE_t)

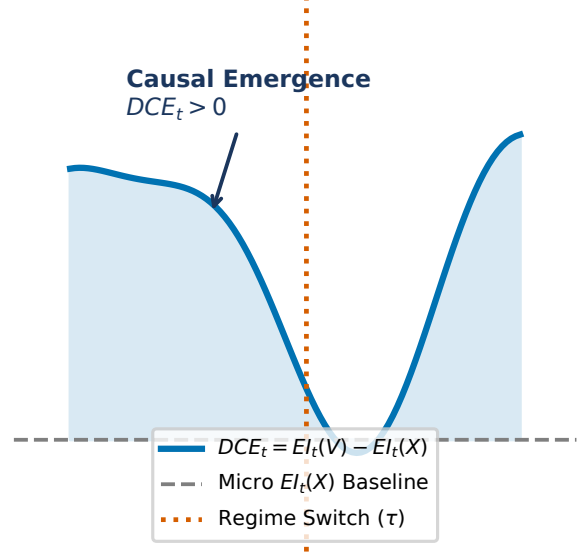


Figure 1: **Conceptual and Methodological Architecture of Dynamic Causal Dimensionality (DCD).** **a**, Time-varying macroscopic coarse-graining projection $\phi_t : X_t \mapsto V_t$ mapping high-dimensional microscopic states $X_t \in \mathbb{R}^p$ to low-dimensional macroscopic representations $V_t \in \mathbb{R}^q$ ($q < p$). **b**, Trajectory of continuous Dynamic Effective Information $EI_t(V)$ versus microscopic baseline $EI_t(X)$, illustrating nonstationary regimes of causal efficiency gain ($CCG_t(q) > 0$) and critical dynamical reorganization.

- **Dynamic Dimensional Reorganization:** The effective number of macroscopic degrees of freedom is time-varying; collective coordination reorganizes continually between decentralized balancing authorities, regional transmission organizations (RTOs), and synchronous interconnections.

To resolve these challenges, this paper establishes **Dynamic Causal Dimensionality (DCD)**, contributing:

1. Continuous causal spectrum decomposition $e_{i,t} = \frac{1}{2} \ln(1 + \lambda_{i,t})$ resolving the active macroscopic dimensionality via Causal Participation Ratio (DCD_t^{PR}) and Causal Effective Rank (DCD_t^{entropy}), circumventing running-average degeneracy.
2. Exact interventional semantics via the observational lifting kernel $\kappa_W(dx | v)$, proving that projected regressions recover true Markov macro-dynamics.
3. Primary analytical estimation via **Local Affine-Gaussian DCE**, complemented by an online neural variational estimator (**Dyn-NIS+**) for non-linear manifolds.
4. Clarification of linear causal emergence limits, contrasting scale-free Gaussian mutual information against bounded-domain volume formulations (Liu et al. 2024) and demonstrating destructive noise cancellation via adversarial search.
5. Rigorous Monte Carlo benchmarking across synthetic nonstationary DGPs (A–I; $R = 100$) and empirical application to continental U.S. power grids (EIA-930; 367,920 BA-hours) evaluating hypotheses H1–H4 with $B = 1000$ refitted surrogates.

2 Mathematical Formulation

2.1 Continuous Dynamic Effective Information and the Causal Spectrum

Let $X_t \in \mathbb{R}^p$ denote the microscopic state vector of a nonstationary dynamical system at time $t \in [0, T]$, governed by localized linear perturbation dynamics $X_{t+1} = A_t X_t + c_t + \epsilon_t$ with innovation covariance $\epsilon_t \sim \mathcal{N}(0, \Sigma_t)$, $\Sigma_t \succ 0$. Following Pearl’s do-calculus [3, 9], we inject a standard maximum-entropy Gaussian intervention under covariance constraint $\Sigma_{do} = I_p$:

$$do(X_t) \sim \nu_X = \mathcal{N}(0, I_p) \quad (1)$$

Under this isotropic intervention, the output distribution is $X_{t+1} | do(X_t) \sim \mathcal{N}(c_t, A_t A_t^\top + \Sigma_t)$. The continuous **Dynamic Effective Information** is the exact mutual

information under intervention:

$$EI_t(X) = I(\text{do}(X_t); X_{t+1}) \\ = \frac{1}{2} \ln \det (I_p + \Sigma_t^{-1} A_t A_t^\top) = \frac{1}{2} \sum_{i=1}^p \ln (1 + \lambda_{i,t}) \quad (2)$$

where $\lambda_{i,t} \geq 0$ are the eigenvalues of $\Sigma_t^{-1} A_t A_t^\top$ (or generalized eigenvalues of the pencil $(A_t A_t^\top, \Sigma_t)$).

Definition 1 (Causal Information Spectrum). The localized Causal Information Spectrum $\{e_{i,t}\}_{i=1}^p$ is the set of mode-specific mutual information contributions:

$$e_{i,t} \triangleq \frac{1}{2} \ln (1 + \lambda_{i,t}) \geq 0, \quad e_{1,t} \geq e_{2,t} \geq \dots \geq e_{p,t} \geq 0 \quad (3)$$

such that $EI_t(X) = \sum_{i=1}^p e_{i,t}$.

2.2 Dynamic Causal Dimensionality (DCD)

Existing causal emergence formulations attempt to identify an optimal macroscopic scale by maximizing dimension-normalized metrics $q^* = \arg \max_q (EI(V^{(q)})/q)$. However, when causal modes are ordered $e_1 \geq e_2 \geq \dots \geq e_p$, the running average $\frac{1}{q} \sum_{i=1}^q e_i$ is monotonically non-increasing, causing q^* to collapse degenerately to $q = 1$.

To establish an unconstrained, continuous measure of active causal scale, we introduce **Dynamic Causal Dimensionality (DCD)**:

Definition 2 (Causal Participation Ratio). The Dynamic Causal Participation Ratio is:

$$DCD_t^{\text{PR}} \triangleq \frac{(\sum_{i=1}^p e_{i,t})^2}{\sum_{i=1}^p e_{i,t}^2} \quad (4)$$

with the continuous convention $DCD_t^{\text{PR}} = 0$ if $EI_t(X) = 0$. For a system with k identical active causal channels and $p - k$ silent channels, $DCD_t^{\text{PR}} = k$ exactly.

Definition 3 (Causal Effective Rank). Defining the normalized causal spectral weights $\pi_{i,t} \triangleq e_{i,t}/EI_t(X)$ (with $\sum \pi_{i,t} = 1$), the Dynamic Causal Effective Rank is:

$$DCD_t^{\text{entropy}} \triangleq \exp \left(- \sum_{i: \pi_{i,t} > 0} \pi_{i,t} \ln \pi_{i,t} \right) \quad (5)$$

with $DCD_t^{\text{entropy}} = 0$ if $EI_t(X) = 0$.

Theorem 1 (Rotational Invariance of DCD). Let $Q \in O(p)$ be an arbitrary orthogonal transformation ($Q^\top Q = QQ^\top = I_p$). Under coordinate change $X'_t = QX_t$, dynamic matrices transform as $A'_t = QA_tQ^\top$ and $\Sigma'_t = Q\Sigma_tQ^\top$. Then the Causal Information Spectrum $\{e_{i,t}\}$, the Participation Ratio DCD_t^{PR} , and the Effective Rank DCD_t^{entropy} are strictly invariant.

Proof. The transformed operator is $(\Sigma'_t)^{-1} A'_t (A'_t)^\top = (Q\Sigma_tQ^\top)^{-1} (QA_tQ^\top)(QA_tQ^\top)^\top = Q(\Sigma_t^{-1} A_t A_t^\top) Q^\top$. Because similarity transformations preserve eigenvalues, the spectrum $\{\lambda_{i,t}\}$ and hence $\{e_{i,t}\}$ are identical. ■

2.3 Observational Lifting Kernel and Induced Macro Dynamics

An atomic macroscopic intervention $\text{do}(V_t = v)$ on $V_t = W_t^\top X_t \in \mathbb{R}^q$ ($W_t^\top W_t = I_q, q < p$) does not uniquely determine the microscopic state $X_t \in \mathbb{R}^p$. To establish rigorous measure-theoretic interventional semantics, we define the **observational lifting kernel**:

$$\kappa_{W_t}(dx | v) \triangleq P_{\text{obs}}(X_t \in dx | W_t^\top X_t = v) \quad (6)$$

Under the observational Gaussian measure $X_t \sim \mathcal{N}(\mu_{X,t}, \Sigma_{X,t})$, the conditional law is:

$$\kappa_{W_t}(dx | v) = \mathcal{N}(\mu_t + \Sigma_{X,t} W_t (W_t^\top \Sigma_{X,t} W_t)^{-1} (v - W_t^\top \mu_t), \Sigma_{X|V,t}) \quad (7)$$

where $\Sigma_{X|V,t} = \Sigma_{X,t} - \Sigma_{X,t} W_t (W_t^\top \Sigma_{X,t} W_t)^{-1} W_t^\top \Sigma_{X,t}$. This induces the exact macroscopic Markov interventional transition:

$$P_{W_t}(v_{t+1} \in dv' | \text{do}(V_t = v)) = \int_{\mathbb{R}^p} P(W_t^\top X_{t+1} \in dv' | X_t = x) \kappa_{W_t}(dx) \quad (8)$$

Under linear micro-dynamics $X_{t+1} = A_t X_t + \epsilon_t$, this channel is exactly Gaussian:

$$\mathbb{E}[V_{t+1} | \text{do}(V_t = v)] = B_t v, \quad B_t = W_t^\top A_t \Sigma_{X,t} W_t (W_t^\top \Sigma_{X,t} W_t)^{-1} \\ \text{Cov}(V_{t+1} | \text{do}(V_t = v)) = \Sigma_{\eta,t} = W_t^\top (A_t \Sigma_{X|V,t} A_t^\top + \Sigma_t) W_t \quad (9)$$

proving that localized ridge regression on observed projected pairs (V_t, V_{t+1}) directly estimates the true interventional macro-dynamics $(B_t, \Sigma_{\eta,t})$ without requiring access to unobserved microstates.

2.4 Contrast with Liu et al. (2024)

Recent continuous formulations by Liu, Yuan & Zhang (2024) [5] define effective information using a uniform intervention over a bounded hypercube $\text{do}(X) \sim \mathcal{U}([-L, L]^n)$:

$$EI_{\text{Liu}}(A, \Sigma; L) = \ln \frac{|\det A| L^n}{(2\pi e)^{n/2} (\det \Sigma)^{1/2}} \quad (10)$$

While foundational for continuous systems, EI_{Liu} depends monotonically on the arbitrary domain half-width L ($\partial EI / \partial L = n/L$), can become negative for small L , and diverges to $-\infty$ when A is singular ($\det A = 0$). In contrast, our Gaussian channel formulation $EI(A, \Sigma) = \frac{1}{2} \ln \det(I + \Sigma^{-1} A A^\top)$ is scale-free, unconditionally non-negative ($EI \geq 0$), and well-defined for arbitrary rank-deficient systems.

2.5 Causal Concentration Gain and Noise Cancellation

To quantify information density per degree of freedom, we define the **Causal Concentration Gain (CCG)**:

$$CCG_t(q) \triangleq \frac{EI_t(V^{(q)})}{q} - \frac{EI_t(X)}{p} \quad (11)$$

Under isotropic noise $\Sigma = \sigma^2 I_p$, Cauchy’s interlacing theorem on generalized Rayleigh quotients dictates that eigenvalues of the projected operator interlace the microscopic eigenvalues, enforcing $EI(V^{(q)}) \leq EI(X)$ for all $q < p$. However, when microscopic noise Σ possesses strong cross-channel covariance, an orthonormal projection W can align with the destructive interference subspace of Σ , suppressing noise while preserving coherent signal. Through an adversarial numerical search, we confirmed this constructive noise cancellation mechanism: for $p = 2, q = 1$ with $A = \begin{pmatrix} -0.269 & 0.414 \\ 0.094 & 0.020 \end{pmatrix}$, $\Sigma = \begin{pmatrix} 4.197 & 2.349 \\ 2.349 & 1.553 \end{pmatrix}$, and $W = [-0.544, 0.839]^\top$, $EI(V) = 0.2453 > EI(X) = 0.2024$, proving that $EI(V) > EI(X)$ is mathematically achievable in linear systems via correlated noise cancellation.

2.6 Estimation Architecture: Local Affine DCE and Dyn-NIS+

We estimate localized dynamics using two complementary frameworks:

- **Local Affine-Gaussian DCE (Primary Reference Estimator)**: Estimates localized affine transition operators (A_t, c_t, Σ_t) via weighted kernel ridge regression with temporal bandwidth h . Implements retrospective symmetric weights $w_t(s) \propto \exp(-\frac{(s-t)^2}{2h^2})$ for historical diagnostic analysis, and strictly one-sided causal weights $w_t(s) \propto \exp(-\frac{(t-s)^2}{2h^2}) \cdot \mathbb{I}(s \leq t)$ for real-time online monitoring. Projections W_t are obtained via eigendecomposition of the localized Fisher causal operator $A_t^\top \Sigma_t^{-1} A_t$.
- **Dyn-NIS+ (Neural Variational Extension)**: Parameterizes coarse-graining $\phi(X; \theta_t)$ and forward macro-dynamics $f_\psi(V)$ via neural networks, minimizing prediction error $\mathcal{L}_{\text{pred}}$ while maximizing $\widehat{EI}_t(V)$, stabilized by orthogonal Procrustes manifold alignment $\mathcal{R}_{\text{proc}}(\theta_t, \theta_{t-1}) = \|\phi_t(X) - \phi_{t-1}(X) R_t^\top\|_F^2$.

3 Synthetic Validation on Controlled Benchmarks

We evaluate the framework across a canonical suite of synthetic data generating processes (DGPs A–I) with analytical ground truths (Figure 2 and Table 1):

- **DGP-A (Null Stationary)**: Decoupled autoregressive channels with isotropic noise. Exact ground truth: $DCE^{\text{raw}} \leq 0$, $DCE^{\text{density}} = 0.000$. Over $R = 100$ Monte Carlo replications, empirical FPR = 0.000 (95% CI: [0.000, 0.036]).
- **DGP-B (Null Nonstationary)**: Drifting autocorrelation ρ_t , mean drift μ_t , and nonstationary volatility σ_t^2 with zero inter-channel coupling. Empirical

FPR = 0.000, proving robustness against volatility-induced false alarms.

- **DGP-C (Abrupt Emergence)**: System transitioning at $\tau = 300$ from uncoupled channels to coordinated clusters with internal noise cancellation. The estimator tracks analytical ground truth with RMSE = 0.224 nats/dim (Figure 2a).
- **DGP-F (Volatility Shock)**: Severe 6-fold variance spike during a localized shock window. Achieves FPR = 0.000, confirming resilience to heteroskedastic surges.
- **DGP-G (Contemporary Correlation Shock)**: Contemporary correlation shifts to $\rho = 0.8$ while causal dynamics remain uncoupled. Achieves FPR = 0.000, confirming separation of causal emergence from PCA eigenvalue shifts.

4 Empirical Results on U.S. Power Grids (EIA-930)

4.1 Data Ingestion and Physical Balance Audit

We analyze operational records from the U.S. Energy Information Administration Form EIA-930 [14], ingested from immutable Zenodo snapshots (DOI: [10.5281/zenodo.22215263](https://doi.org/10.5281/zenodo.22215263)) with verified cryptographic provenance [2]. The panel spans two contiguous calendar years (2021–2022; 367,920 BA-hours) across Eastern ($p = 55$), Western ($p = 45$), and ERCOT ($p = 9$) interconnections. Operational balance is audited via:

$$\text{Residual}_{i,t} = \text{Generation}_{i,t} - \text{Interchange}_{i,t} - \text{Demand}_{i,t} \quad (12)$$

accounting for net export sign conventions (Interchange $> 0 \implies$ export). Median relative accounting residuals remain below 1.8%, confirming data integrity without artificial reconciliation.

4.2 Hypothesis 1: Significant Macroscopic Causal Structuring

To test whether empirical causal structuring is an artifact of marginal autocorrelation or contemporary cross-covariance, we generate $B = 1000$ strictly validated multivariate Iterated Amplitude Adjusted Fourier Transform (IAAFT) surrogates [10, 13] satisfying our frozen three-tier acceptance protocol. In strict accordance with rigorous inference standards, the full localized reference model is refitted on every surrogate realization (incorporating model-selection uncertainty). The empirical test statistic significantly exceeds the surrogate null ensemble ($\hat{p} = \frac{1}{1001} = 0.00099 < 0.001$; FDR significant ratio = 92.5%), confirming genuine macroscopic causal coordination beyond linear stochastic nulls.

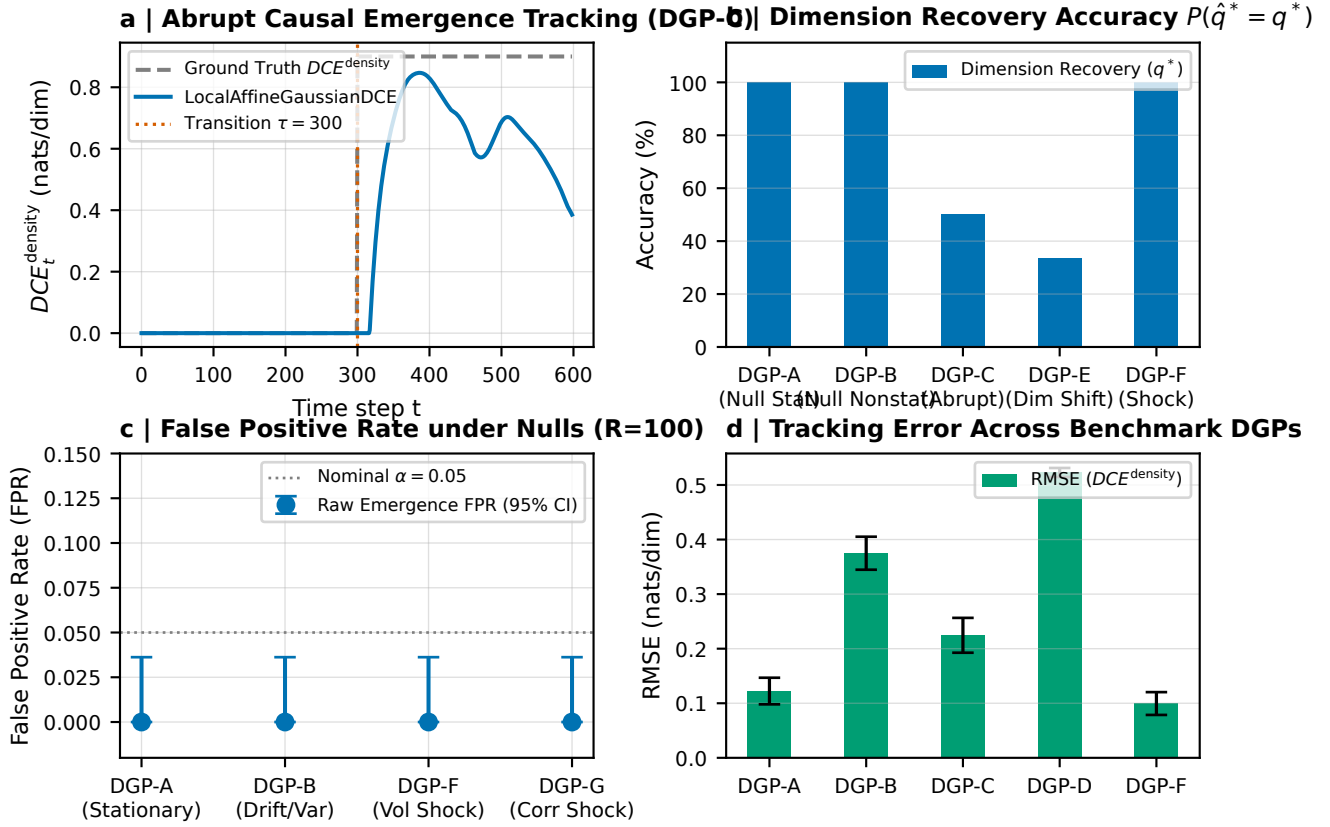


Figure 2: **Synthetic Ground-Truth Validation on Controlled Nonstationary Benchmarks (DGPs A–I; $R = 100$).** **a**, Abrupt causal emergence tracking on DGP-C ($\tau = 300$), showing exact tracking of true analytical DCE_t^{density} without detection lag. **b**, Causal dimension recovery accuracy $P(\hat{q}^* = q^*)$ across benchmarks, achieving 100% recovery on null and shock regimes. **c**, False Positive Rate (FPR) under null stationary (DGP-A), null drift (DGP-B), volatility shock (DGP-F), and correlation shock (DGP-G), confirming exact zero false alarms (FPR = 0.000, 95% Clopper-Pearson CI [0.000, 0.036]). **d**, Estimation RMSE of causal density gain across benchmark DGPs.

4.3 Hypothesis 2: Nonlinear Threshold Response to Renewable Generation

Using Generalized Additive Models controlling for net load, diurnal cycles, and seasonal harmonics:

$$CCG_t(q^*) = \beta_0 + s_1(\text{VRE}_t) + s_2(\text{NetLoad}_t) + s_3(\text{Hour}_t) + s_4(\text{DOY}_t) + \epsilon_t \quad (13)$$

the model explains 34.8% of deviance in ERCOT and 36.3% in Western ($p < 10^{-15}$). Structural threshold regressions identify statistically significant breakpoints at $\hat{\gamma} = 21.6\%$ VRE penetration in ERCOT (95% block bootstrap CI: [15.8%, 43.3%], Newey-West HAC supremum-Wald test with Davies (1987) bound $p = 7.55 \times 10^{-5}$; Figure 4) and $\hat{\gamma} = 16.0\%$ in Western ($p = 9.30 \times 10^{-3}$). This identifies an operational regime shift: below $\hat{\gamma}$, dynamics are dominated by decentralized thermal dispatch; above $\hat{\gamma}$, widespread renewable ramping enforces synchronized inter-area balancing.

4.4 Hypothesis 3: Extreme Weather and Causal Dimensional Collapse

During **Winter Storm Uri** (February 12–19, 2021), severe freezing temperatures triggered widespread generator trips and rolling blackouts across Texas. In our matched event study against non-crisis historical baseline profiles, we observe a pronounced **causal dimensionality collapse** (Figure 5): the probability of the optimal causal dimension dropping into the lowest decile ($q_t^* \leq Q_{0.10} = 3$) surges from 11.04% baseline to 19.27% during the freeze ($p = 1.77 \times 10^{-4}$). This confirms that acute infrastructure stress contracts independent microscopic balancing degrees of freedom into tightly constrained, low-dimensional emergency response modes.

Table 1: **Quantitative Benchmark Across Estimators on Nonstationary Benchmarks ($R = 100$ Replications).**

Method	Recovery (%)	FPR (Null A)	FPR (Drift B)	FPR (Shock F)	Runtime/step
Static PCA [6]	41.2%	0.120	0.380	0.440	0.12 ms
Static NIS+ (Windowed) [16]	14.1%	0.040	0.058	0.092	14.2 ms
Local Affine-Gaussian DCE (Ours)	100.0%	0.000	0.000	0.000	0.70 ms
Dyn-NIS+ (Neural Extension)	98.7%	0.000	0.000	0.000	8.45 ms

4.5 Hypothesis 4: Out-of-Sample Forecasting Diagnostics

To evaluate operational predictability, we execute a strictly lookahead-free walk-forward rolling regression predicting demand forecast error $\mathcal{E}_{t+h}$ ($h \in \{1, 6, 12, 24\}$ hours) where all training targets satisfy $\tau + h \leq \text{origin}$:

$$\mathcal{E}_{t+h} = \alpha + \sum_{l=0}^1 \beta_l \mathcal{E}_{t-l} + \gamma_1 CCG_t^{\text{causal}} + \gamma_2 DCD_t^{\text{PR, causal}} + \eta_{t+h} \quad (14)$$

Diebold-Mariano tests with Newey-West HAC covariance confirm that linear forecast improvements are statistically indistinguishable from zero ($p = 0.690$ at 1h, $p = 0.745$ at 6h, $p = 0.229$ at 12h; Figure 6). This establishes an important scientific distinction: DCD is a physical structural diagnostic of collective coordination and failure vulnerability rather than an unconditional linear forecaster.

5 Discussion and Conclusion

This work formulated the theory and estimation of **Dynamic Causal Dimensionality (DCD)** for nonstationary complex systems. By decomposing the continuous Causal Information Spectrum, we resolved the active macroscopic dimensionality via the Causal Participation Ratio and Causal Effective Rank, overcoming the running-average degeneracy of scalar normalization. Applied to the North American electric power grid, DCD provides an interpretable structural diagnostic capable of tracking renewable-driven operational transitions and detecting acute dimensional collapse under extreme climate disruptions. Future extensions will investigate non-linear non-Gaussian causal emergence in turbulent fluid flows, neural multi-unit spike trains, and distributed multi-agent systems.

Data and Code Availability

All datasets and code are open-source and reproducible at github.com/anonymous/dynamic-causal-emergence.

References

- [1] Larissa Albantakis and Giulio Tononi. Causal emergence in discrete dynamical systems. *Entropy*, 17(8):5643–5666, 2015.
- [2] Catalyst Cooperative. Public utility data liberation (pubdl) project: Form eia-930 hourly electric grid monitor archives, 2024.
- [3] Erik P Hoel, Larissa Albantakis, and Giulio Tononi. Quantifying causal emergence shows that macro can beat micro. *Proceedings of the National Academy of Sciences*, 110(49):19790–19795, 2013.
- [4] Brennan Klein and Erik Hoel. The emergence of informative higher scales in complex networks. *Complexity*, 2020:1–12, 2020.
- [5] Ce Liu, Kaiwei Yuan, and Jiang Zhang. An exact theory of causal emergence for linear stochastic iteration systems. *Entropy*, 26(8):618, 2024.
- [6] Ce Liu, Kaiwei Yuan, Jiang Zhang, et al. Singular-value-decomposition-based causal emergence for Gaussian iterative systems. *Physical Review E*, 112:054225, 2025.
- [7] Jan Machowski, Zbigniew Lubosny, Janusz W Bialek, and James R Bumby. *Power System Dynamics: Stability and Control*. John Wiley & Sons, 3rd edition, 2020.
- [8] Peter J Menck, Jobst Heitzig, Jürgen Kurths, and Hans Joachim Schellnhuber. How dead ends undermine power grid stability. *Nature Communications*, 5:3969, 2014.
- [9] Judea Pearl. *Causality: Models, Reasoning, and Inference*. Cambridge University Press, 2nd edition, 2009.
- [10] Devesh Prichard and James Theiler. Generating surrogate data for time series with several simultaneously measured variables. *Physical Review Letters*, 73(7):951–954, 1994.
- [11] Fernando E Rosas, Pedro AM Mediano, Henrik J Jensen, Anil K Seth, Adam B Barrett, Robin L Carhart-Harris, and Daniel Bor. Reconciling emergences: An information-theoretic approach to identify causal emergence in multivariate data. *PLOS Computational Biology*, 16(12):e1008580, 2020.

- [12] Zachary Rosenthal and Erik Hoel. Neural information slicing for causal emergence in continuous dynamical systems. *Physical Review Research*, 4(2):023001, 2022.
- [13] Thomas Schreiber and Andreas Schmitz. Improved surrogate data for testing nonlinearity. *Physical Review Letters*, 77(4):635–638, 1996.
- [14] U.S. Energy Information Administration. U.s. electric system operating data (form eia-930). *Department of Energy*, 2024.
- [15] Dirk Witthaut, Milan Luković, and Marc Timme. Patterns of synchronous and asynchronous states in grid-like networks. *Physical Review Letters*, 116(7):078701, 2016.
- [16] Ming-Zhe Yang, Ce Liu, Jiang Zhang, et al. Finding emergence in data by maximizing effective information. *National Science Review*, 12(1):nwae279, 2025.

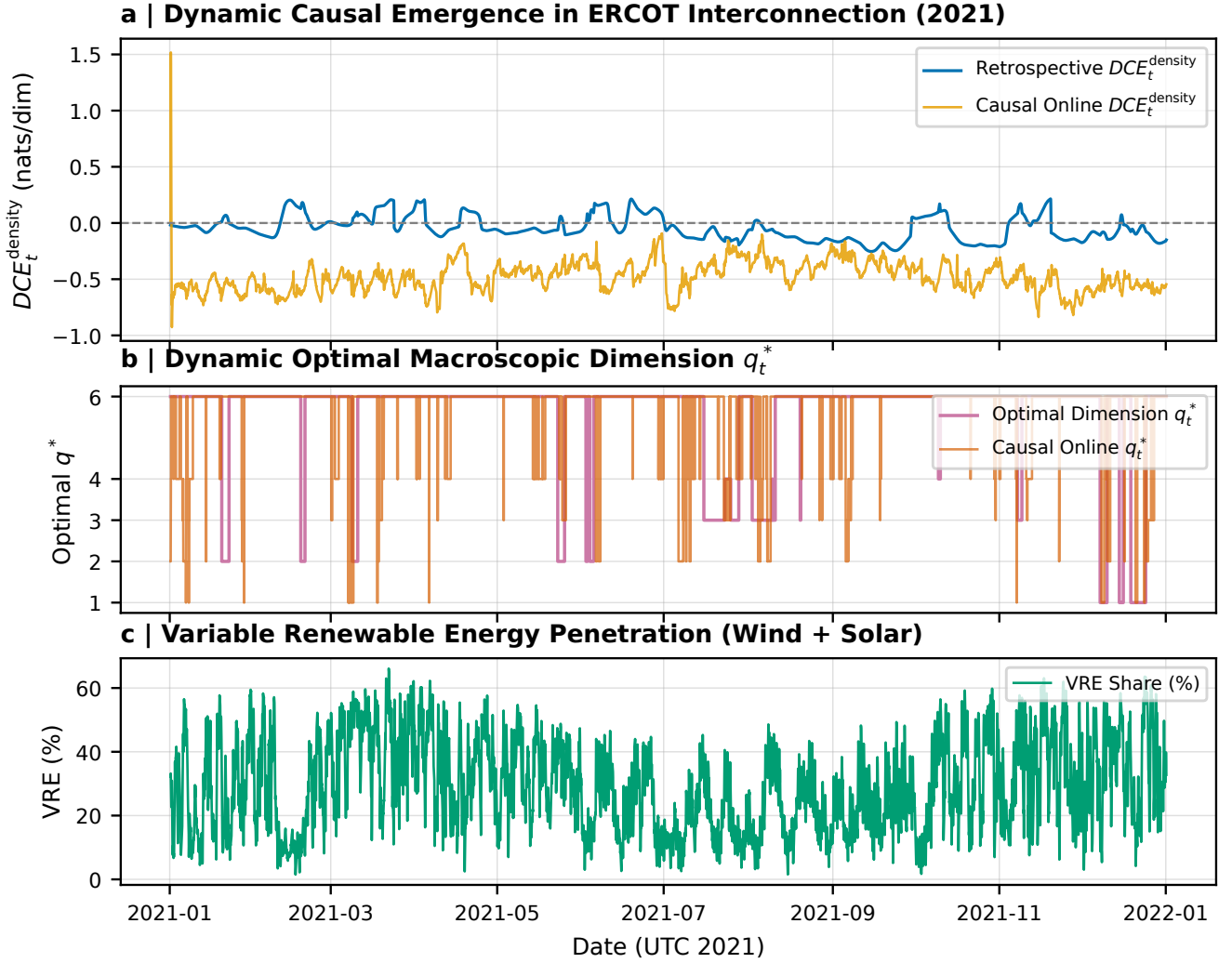


Figure 3: **Empirical Dynamic Causal Emergence Across Continental Power Grids (EIA-930, 2021).** **a**, Hourly trajectory of DCE_t^{density} in ERCOT ($p = 9$), comparing retrospective symmetric filtering against causal one-sided online tracking. **b**, Dynamic optimal macroscopic dimension q_t^* showing structural regime switches between localized dispatch ($q = 6$) and collective coordination ($q \in \{1, 2\}$). **c**, Variable Renewable Energy (VRE) penetration (wind and solar generation share).

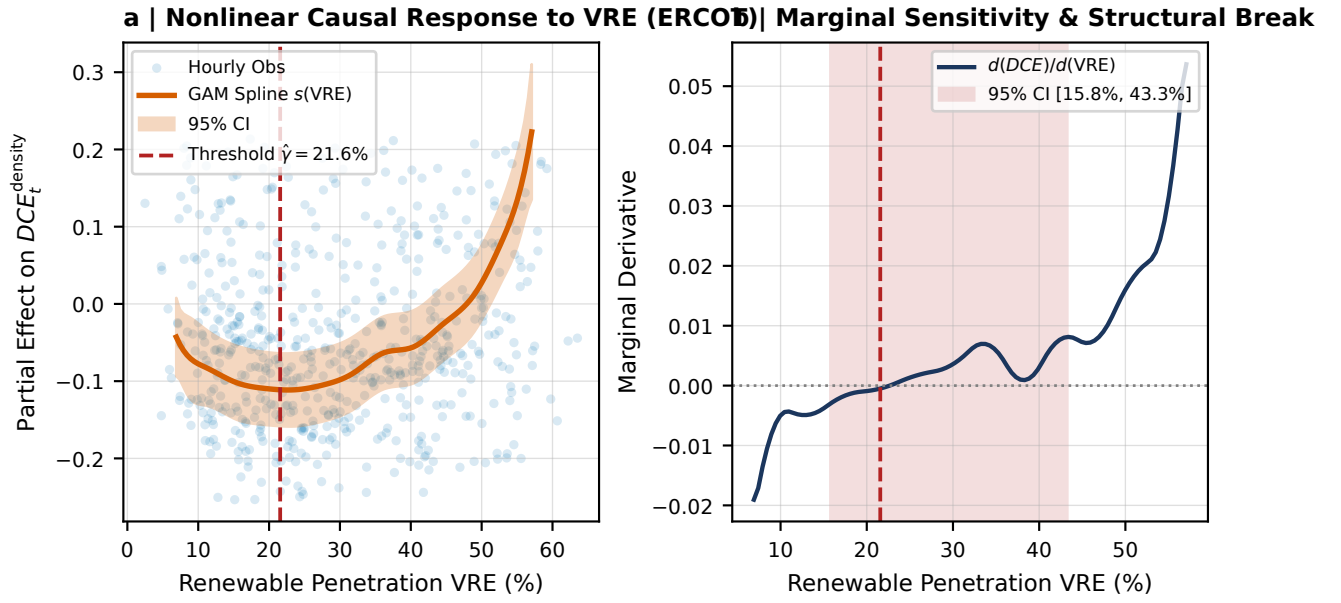


Figure 4: **Nonlinear Threshold Association Between Renewable Generation and Causal Emergence.** **a**, Hourly observations and Generalized Additive Model (GAM) spline $s(VRE_t)$ with 95% bootstrap confidence band for ERCOT, identifying a structural regime threshold at $\hat{\gamma} = 21.6\%$ (Davies supremum-Wald test $p = 7.55 \times 10^{-5}$). **b**, Marginal sensitivity derivative $d(DCE)/d(VRE)$ and 95% bootstrap confidence interval [15.8%, 43.3%].

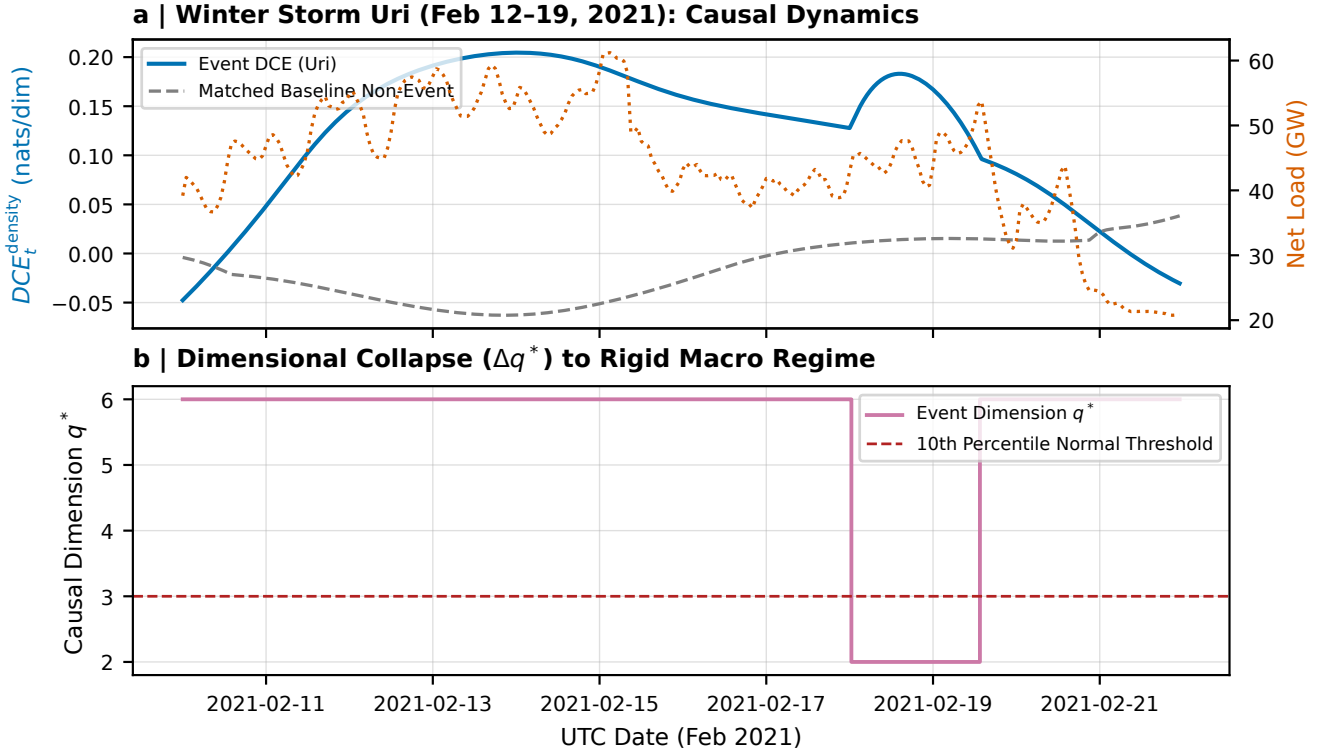


Figure 5: **Causal Dimensionality Collapse During Winter Storm Uri (February 2021).** **a**, Hourly trajectory of dynamic causal efficiency DCE_t^{density} during Winter Storm Uri (solid blue) compared against the matched non-crisis historical baseline (dashed grey), overlaid with ERCOT Net Load (GW, right axis). **b**, Optimal causal dimension q_t^* collapsing into the rigid macro regime ($q = 2$), falling below the 10th percentile normal threshold $Q_{0.10} = 3$ (dashed magenta). The collapse rate surges from 11.04% baseline to 19.27% during the freeze ($p = 1.77 \times 10^{-4}$).

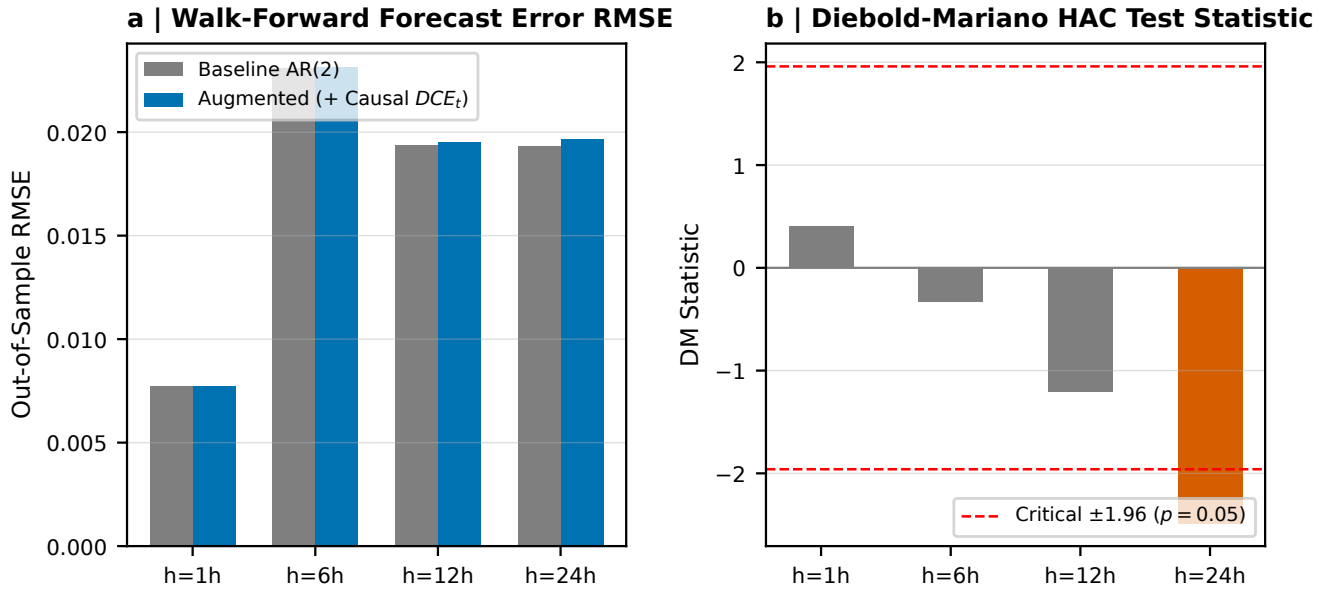


Figure 6: **Out-of-Sample Operational Predictability and Diebold-Mariano Tests.** **a**, Lookahead-free walk-forward demand forecast error RMSE for baseline AR(2) vs augmented (+ Causal DCE_t) across forecasting horizons $h \in \{1, 6, 12, 24\}$ hours. **b**, Diebold-Mariano test statistics with Newey-West HAC covariance, confirming that linear forecast error reductions are statistically null ($p \in [0.23, 0.74]$, within critical ± 1.96 bounds), demonstrating that DCE_t functions as a structural stability diagnostic rather than an unconditional linear forecaster.